

Strategy in the International Firm

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Dr. Arne Floh · Department of Global Trade, WU Vienna

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Session agenda

1 • Strategy

What strategy is, competitive advantage, international strategy, and the four strategy types on the integration–responsiveness map

2 • Building a Global Firm

Visionary leadership, organizational culture and processes — and the structures that hold an MNE together

3 • Strategic Tools & Market Entry

Porter’s Five Forces, PESTEL and the 2020s megatrends, SWOT/TOWS — and choosing how to enter a foreign market

4 • Global Market Opportunity

The six-task assessment: readiness, product fit, country screening, industry potential, partners and sales potential

From what strategy is, to building and organizing the firm, to the tools that scan the environment and analyze the industry, to entering markets — and finally assessing which market to enter.

PART 1

Strategy

The concept, competitive advantage, and the four strategy types



Opening activity: same brand, same product — everywhere?

IN-CLASS OPENER • 10 MINUTES • THINK-PAIR-SHARE

Objective: build the integration–responsiveness intuition from brands you know — before we name the framework.

- 1 Consider six brands: **Red Bull • McDonald’s • Rolex • IKEA • Netflix • Coca-Cola.**
- 2 For each: is the **product** the same everywhere? Is the **marketing**? Is the **price**?
- 3 Rank the six from “identical worldwide” to “heavily adapted per country”.
- 4 Pair up and defend your ranking — where do you disagree, and why?
- 5 Keep your notes: by the end of today you will place all six on a 2×2 strategy map.

What is strategy?

“A planned set of actions that managers employ to make best use of the firm’s **resources and core competencies** to gain **competitive advantage**.”

- Two questions sit inside every strategy: **where to compete** (which industries and markets) and **how to compete** (the competitive approach there).
- Watch: Michael Porter, [“What is strategy?”](#) — strategy is choosing to be *different*, not just better.

Two levels of firm strategy

Corporate strategy

Where to compete?

The scope of the firm — in which **industries and markets** should it operate? Diversification, vertical integration, entering or exiting countries.

Business strategy

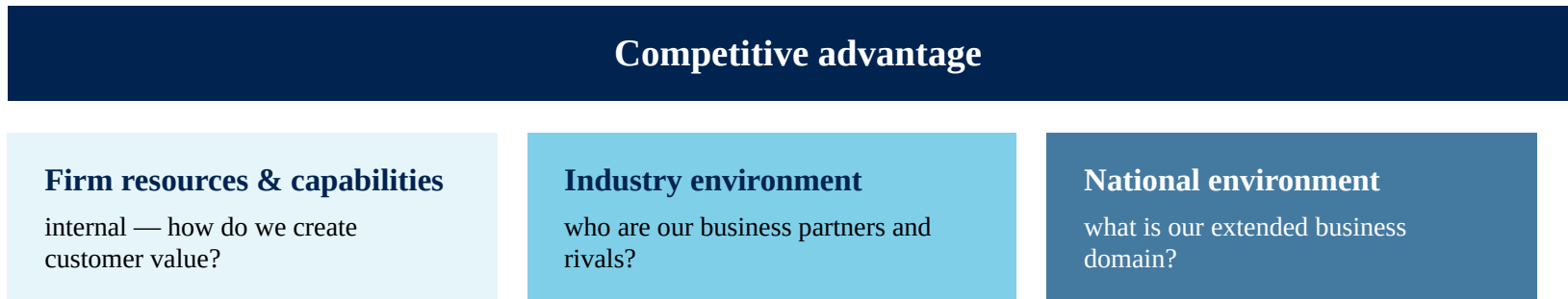
How to compete?

The competitive approach **within** an industry or market — cost leadership vs. differentiation, how to win customers against rivals.

- For the international firm both questions gain a geographic dimension: **which countries**, and **how to compete** in each.

Based on Grant, Contemporary Strategy Analysis (2010).

What is the basis for defining strategy?



- Competitive advantage is built where the **firm's resources** meet the **industry** and **national** environments.
- So strategy definition always rests on **both internal and external analysis** — the two we develop today.

Based on Grant, Contemporary Strategy Analysis (2010).

Competitive advantage: the goal of strategy

- **Definition (Porter, 1985):** a firm has a competitive advantage when it consistently creates more value for buyers than its rivals — and earns returns above the industry average. It does so either by charging **lower prices** for equivalent benefits, or by offering **unique benefits** that outweigh a price premium.
- **Two generic sources (Porter): cost leadership and differentiation** — which, combined with competitive scope, give three generic strategies (adding **focus** on a narrow segment).
- **Making it last — the resource-based view (Barney, 1991):** an advantage is **sustained** when it rests on resources that are **Valuable, Rare, Inimitable** and **Non-substitutable (VRIN / VRIO)** — resources rivals cannot easily copy or buy.
- **Not to be confused with comparative advantage:** comparative advantage is a **country**-level idea (Ricardo, 1817 — produce what has the lower opportunity cost); competitive advantage is a **firm**-level idea (Porter).

IKEA — cost leadership: flat-pack, self-assembly and global scale; the world's largest furniture retailer (Ingka revenue €41.8 bn, FY2024).

Apple — differentiation: brand, design and ecosystem lock-in; captured ~80% of smartphone-industry operating profit on ~20% of unit sales (2025).

Toyota — operational excellence: the lean Toyota Production System; world's largest carmaker for the 5th year running (10.8 m vehicles, 2024).

Amazon — scale & network: logistics reach plus AWS (~US\$108 bn revenue, 2024) fund cost and network advantages across the group.

Porter, Competitive Advantage (1985); Barney, “Firm Resources and Sustained Competitive Advantage”, Journal of Management (1991); Ricardo (1817). Company figures: Ingka FY2024; AppleInsider (2026); CNBC (2025); Amazon (2024).

International strategy

- **International strategy:** strategy carried out in **two or more countries**.
- Allocate scarce resources and configure value-adding activities on a worldwide scale.
- Participate in major markets.
- Implement valuable partnerships abroad.
- Engage in competitive moves in response to foreign rivals.

Multinationality adds layers of analysis

- **Competitive advantage:** are the firm's resources and capabilities valuable in **all** markets — or bound to the home context?
- **Industry environment:** do the **competitive forces differ** across countries — different rivals, suppliers, buyer power?
- **National environment:** different **trends and challenges** across countries — institutions, culture, demand.
- → Multinationality does not replace the frameworks; it **multiplies** them, one layer per market.

Based on Grant, Contemporary Strategy Analysis (2010).

A firm's country of origin shapes its international strategy

- The **country of origin shapes the competitive advantages** an MNC carries abroad — its home institutions, factor conditions and demand.
- Firms differ in how they are **used to doing business** in a globalized world — and how they **cope with high-uncertainty** environments.
- They also sit at **different stages of the internationalization process** — from low value-adding to high value-adding activities abroad.
- *This is why a German Mittelstand exporter, a Chinese state-linked champion and a Silicon Valley platform internationalize so differently.*

Three strategic objectives: efficiency, flexibility, learning

- Bartlett & Ghoshal: the aspiring global firm must “develop, at one and the same time, **global scale efficiency, multinational flexibility, and worldwide learning.**”
- **Efficiency:** lower the cost of the firm’s operations and activities on a global scale.
- **Flexibility:** the agility to manage country-specific risks and opportunities by tapping local resources and exploiting local opportunities.
- **Learning:** develop products, technologies, capabilities and skills by internalizing knowledge gained from international ventures.
- *Reality check: even successful firms usually excel at only one or two of the three.*

Multidomestic industries

- **Multidomestic industry:** competition takes place **country by country** — processed food, consumer products, fashion, retailing, publishing.
- The firm adapts its offering to each country's language, culture, laws and income level; each country tends to have its own set of competitors.
- **Bloomsbury** translates every Harry Potter volume into the local language wherever it is sold.
- **Coca-Cola** sells “Georgia Coffee” in Japan and Inca Kola in Peru; **KFC** in Asia runs multi-storey restaurants with distinctive local flavours.
- → Multidomestic industries call for **multidomestic (“localization”) strategy**.

- **Global industry:** competition is **regional or worldwide** — aerospace, cars, computers, chemicals, industrial equipment.
- Customer needs vary little across countries; firms sell relatively standardized offerings worldwide; a handful of the same rivals compete everywhere.
- **DuPont** sells essentially the same chemicals around the world; **American Standard** and Japan's **Toto** compete with similar fixtures in most major markets; **Caterpillar** and **Komatsu** offer similar machines in every major market.
- → Global industries call for **global strategy**.

Two forces: global integration vs. local responsiveness

- **Global integration:** coordinating value-chain activities across countries to achieve worldwide efficiency, synergy and cross-fertilization — standardized products, regional or worldwide competition, centralized activities and scale economies.
- **Local responsiveness:** meeting the specific needs of buyers in individual countries — adapting offerings, marketing and practices to local customer needs and the local competitive environment.
- Every international firm must strike its own **balance** between the two — that balance is the strategy choice.

Pressures for global integration

- **Cost reduction through scale economies** — concentrate manufacturing in a few advantageous locations.
- **Converging consumer trends and universal needs** — Nike, Dell, ING and Coca-Cola appeal to customers everywhere.
- **Uniform service to global customers** — easiest when creation and delivery are centralized.
- **Global sourcing** of raw materials, components, energy and labour from large-scale central suppliers.
- **Global competitors** — coordinating the response to competitive threats is more effective firm-wide.
- **Global media** — advertise across many countries simultaneously via the internet and cross-national TV.

Pressures for local responsiveness

- **Natural endowments** — each country offers specific resources the foreign firm should access.
- **Local customer needs** — multidomestic industries must adapt products, services and marketing.
- **Distribution channels** differ — Japan's consumer-goods distribution runs through small retailers.
- **Local competition** — out-competing local rivals requires offerings that best meet local demand.
- **Cultural differences** — where culture matters (food, fashion, media), adapt product and marketing.
- **Host-government requirements** — legal and regulatory compliance varies substantially by country.

MNCs face contradictory objectives

Efficiency

in international value chains — global scale and low cost

Flexibility

facing country-specific risks and opportunities

Learning

from global operations — and transferring it worldwide

Pressures for integration

standardize, centralize, exploit scale

Pressures for responsiveness

adapt to local needs and conditions

MNC strategy must balance the pressures for integration and responsiveness to achieve all three goals. Source: Ghoshal (1987); Bartlett & Ghoshal.

The integration–responsiveness framework



- Summarizes the balance every international firm must strike between **integrating value chains globally** and **responding to local markets**.
- Emphasize integration → maximize **efficiency** of the worldwide value chain.
- Emphasize responsiveness → maximize **sales and market share** in each country.
- The two pressures combine into **four strategies** — the quadrants on the left.

Based on Bartlett & Ghoshal, *Managing Across Borders* (1989), and Prahalad & Doz, *The Multinational Mission* (1987).

Strategy 1: home replication

- The firm views international business as **separate from and secondary to** its domestic business — expansion abroad generates incremental sales for domestic product lines.
- Products are designed for domestic customers; international business mainly extends the life of home-market products.
- Management holds little interest in foreign markets and expects little knowledge to flow back from them.
- *Typical for firms taking their first international steps — low integration, low responsiveness.*

Strategy 2: multidomestic

- Also known as “**localization strategy**” — low integration, high responsiveness.
- The firm builds subsidiaries in each foreign market; local managers operate independently and respond to local conditions.
- Products and services are adapted to buyers in each country; headquarters accepts that national markets differ.
- Country managers are usually host-country nationals — but they **rarely share knowledge** with managers elsewhere: duplication and lost learning are the price of autonomy.

Strategy 3: global

- Headquarters seeks **substantial control** over all country operations — minimizing redundancy and maximizing efficiency, learning and integration worldwide.
- The guiding question: “**Why not make the same thing, the same way, everywhere?**” Products, marketing and practices are relatively standardized.
- R&D, manufacturing and marketing tend to be concentrated at headquarters and centrally coordinated.
- Management views the world as **one large marketplace** — high integration, low responsiveness.

Strategy 4: transnational

- A coordinated approach that strives to be **responsive to local needs while retaining central control** — combining the advantages of multidomestic and global strategy.
- The operating rule: **standardize where feasible, adapt where appropriate.**
- Exploit scale economies through a reduced set of global suppliers and concentrated production; organize value-chain activities globally.
- Optimize local responsiveness and flexibility; facilitate global learning and knowledge transfer; coordinate competitive moves globally.
- *Most firms find full transnational strategy very challenging to implement — it is a direction, not a destination.*

How IKEA strives for transnational strategy

- Some **90% of the product line is identical** across more than two dozen countries — but IKEA modifies selected furniture to suit local tastes.
- A **standardized marketing plan** is developed centrally in Sweden — and implemented with local adjustments.
- Selected decisions are **decentralized to local stores**: product displays, advertising language.
- Remember the cultural chapter: in India, IKEA added **assembly services** and adapted its restaurant menu — standardize where feasible, adapt where appropriate, in action.

The I/R framework applies at every level — down to the task

Industries

Some industries are inherently more integrated (aerospace), others more local (retail food)

Companies

Within an industry, firms pick different points on the I/R map

Functions

R&D may be integrated while marketing is highly responsive

Tasks

Even within a function, single tasks differ in their I/R pull

- The integration–responsiveness tension is **not decided once** for the whole firm — it is resolved activity by activity.
- Based on this analysis, MNCs **configure their value-chain activities** for the optimal use of resources — the bridge to the next session on strategy and structure.

Source: Bartlett (1985); Porter (1984).

Discussion: the I/R framework in the FMCG industry

IN-CLASS DISCUSSION • 10 MINUTES • GROUPS

- 1 What pressures for **local responsiveness** shape the fast-moving consumer goods industry?
- 2 What competitive forces push it toward **global integration**?
- 3 How are **technology and competition** changing that balance right now?
- 4 Where would you place a firm like Unilever, Nestlé or Red Bull — and why?

Discussion: the I/R framework and McDonald's

IN-CLASS DISCUSSION • 10 MINUTES • GROUPS

- 1 What factors forced **McDonald's** to **reconsider** its integration/responsiveness balance?
- 2 How did McDonald's **react** to these industry pressures? (Think menu, sourcing, franchising, marketing.)
- 3 The McAloo Tikki in India, the McBaguette in France, vegetarian outlets near temples — integration or responsiveness?
- 4 Which Cavusgil strategy label fits McDonald's best — global, multidomestic or transnational?

Apply it: the strategy map

IN-CLASS ACTIVITY · 15 MINUTES · SMALL GROUPS

Objective: place real firms on the integration–responsiveness map and defend the placement with evidence.

- 1 Return to the six brands from the opener: **Red Bull, McDonald's, Rolex, IKEA, Netflix, Coca-Cola.**
- 2 Place each in one quadrant: home replication · multidomestic · global · transnational. Use concrete evidence (product, pricing, marketing, operations).
- 3 For your two most interesting cases: which **organizational structure** would you expect — and which **entry strategies** did the firm actually use?
- 4 Pick one **megatrend** and argue how it will push one of your firms to a different quadrant by 2035.
- 5 Two minutes per group; the class challenges the placements.

PART 2

Building a Global Firm

Leadership, culture, processes — and organizational structure



Building the global firm: three essentials

Successful global firms rest on three organizational foundations — each is a management choice, not an accident.

Visionary leadership

Senior managers with an international mindset who commit resources and articulate where the firm is going

Organizational culture

Shared values and norms that put the global perspective at the heart of every initiative

Organizational processes

Routines and mechanisms — global teams, global IT — that make worldwide coordination actually work

Visionary leadership

- **Visionary leadership:** senior management that provides superior strategic guidance for managing efficiency, flexibility and learning. Four traits:
- **International mindset and cosmopolitan values** — openness to, and awareness of, diversity across cultures.
- **Willingness to commit resources** — financial, human and other.
- **Strategic vision** — articulating what the firm wants to be in the future, and how it will get there.
- **Willingness to invest in human assets** — employing foreign nationals, promoting multi-country careers, training international managers.

Visionary leaders in practice

- **Satya Nadella — Microsoft:** CEO since 2014; pivoted the firm to cloud and AI. Azure passed **US\$75 bn** revenue in FY2025 (+34%), and in July 2025 Microsoft became only the second company ever worth **US\$4 trillion** — vision as a two-decade transformation, not a slogan.
- **Jensen Huang — NVIDIA:** co-founded 1993; bet the company on the long-shot idea that graphics processors would power AI computing. In October 2025 NVIDIA became the **first US\$5 trillion company** in history — from US\$1 trillion in May 2023.
- **And a cautionary tale — Unilever:** Alan Jope set a celebrated sustainability course; his successor Hein Schumacher **scaled back the flagship ESG pledges** in 2024 (“fewer things, with greater impact”) and was replaced after 20 months by Fernando Fernandez (CEO since March 2025).
- *Lesson: visionary leadership must outlive the visionary — strategy that reverses with each CEO is not a vision but a preference.*

Organizational culture

- **Organizational culture:** the pattern of shared values, behavioral norms, systems and procedures that employees learn and adopt — usually shaped by founders, visionary leaders or the firm's unique history.
- Firms with a **global** organizational culture:
- Value and promote a global perspective in all major initiatives.
- Value international competence and cross-cultural skills among employees.
- Adopt a single corporate language for business communication.
- Promote interdependency between headquarters and subsidiaries.
- Subscribe to appropriate ethical standards.

Ethical connections: scale brings responsibility

- The revenues of the largest corporations rival the GDPs of whole countries — Walmart's annual revenue (~US\$680 bn) exceeds the GDP of all but roughly two dozen nations.
- MNEs can do much to help reduce poverty.
- Global pharmaceutical firms provide AIDS and other medications to the poor in Africa; global retailers build distribution infrastructure that increases access to needed goods at lower prices.
- Bimbo, Pfizer and Unilever are among the many MNEs that support the world's poor *while* running profitable worldwide operations — doing well and doing good are not opposites.

Organizational processes

- **Organizational processes:** managerial routines, behaviors and mechanisms that allow the firm to function as intended — collecting information, quality control, payment systems.
- **Example — Samsung:** built competitive advantage by perfecting countless processes — digitizing key documents and automating activities via intranets and the internet.
- Two processes matter especially for **international coordination**:
- **Global teams:** internationally distributed employee groups with a problem-solving or best-practice mandate that affects the whole firm.
- **Global information systems:** worldwide IT infrastructure — intranets, shared platforms, electronic data interchange — creating virtual interconnectedness across countries.

Organizational structure

- **Organizational structure:** the reporting relationships inside the firm — “the boxes and lines” linking people, functions and processes.
- In large MNEs these linkages span subsidiaries, affiliates, suppliers and partners worldwide.
- The fundamental issue: **centralization vs. decentralization** — how much decision-making stays at headquarters, and how much is delegated to foreign subsidiaries?
- Experienced global firms manage the tension deliberately: they rotate employees through the corporate network, bring country managers together regularly, and use incentives to align subsidiaries with headquarters’ goals.

Who does what: value chains in the typical global MNE

Concentrated at headquarters / few locations

- Research & development
- Product design and development
- Manufacturing of key components
- Global branding and strategy

Why: scale economies, control over knowledge, consistency

Dispersed to subsidiaries / local markets

- Marketing and local advertising
- Sales and distribution
- Customer service and after-sales support
- Final assembly / adaptation where needed

Why: proximity to customers, responsiveness, local knowledge

The exact split follows the strategy: global strategy pushes activities into the left column, multidomestic strategy into the right — transnational firms optimize activity by activity.

Alternative organizational arrangements

As international involvement deepens, structure typically evolves through six arrangements — each fits a stage and a strategy.

1. Export department

2. International division

3. Geographic area structure

4. Product structure

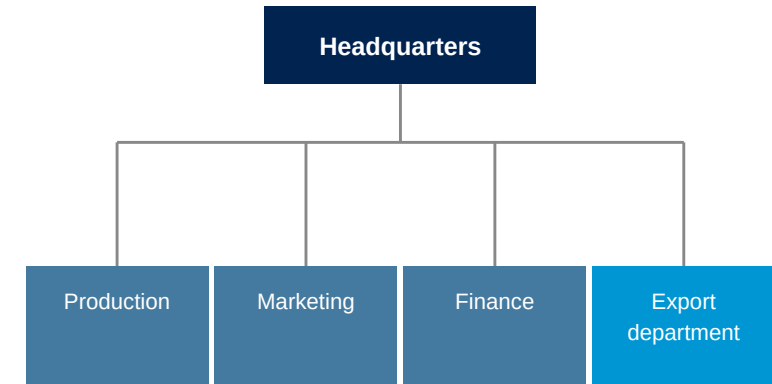
5. Functional structure

6. Global matrix structure

- **Structure follows strategy** (Chandler): home replication pairs with an export department; multidomestic with geographic areas; global with product or functional structures; transnational firms experiment with the matrix.
- Each arrangement trades off **central control** against **local flexibility** — the same tension as the IR framework, drawn as an organigram.

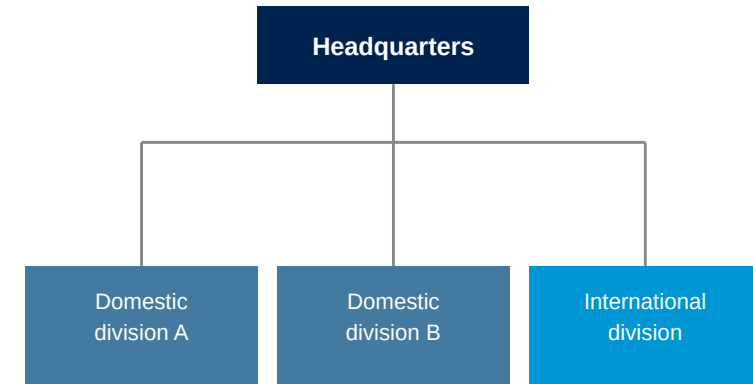
1 • Export department

- A unit within the firm charged with managing **export operations** — the classic first step, paired with home replication strategy.
- **Advantages:** small resource commitment; selling, distribution and shipping unified in one department.
- **Drawbacks:** minimal control over foreign operations; strong reliance on intermediaries; few chances to learn about foreign markets.



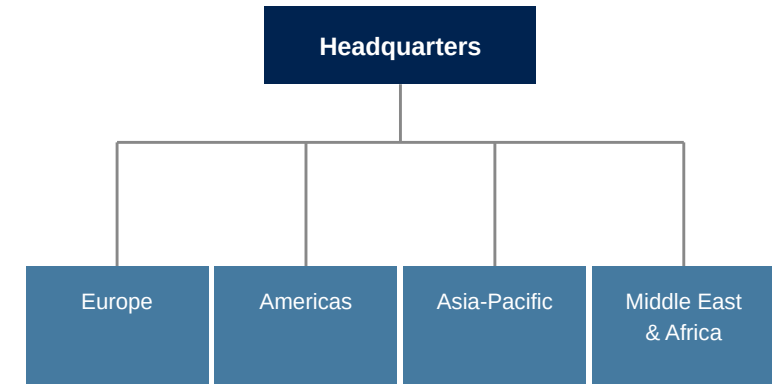
2 • International division

- All international activities are **centralized in one division**, separate from the domestic units — the firm now takes international business seriously.
- **Advantages:** concentrates international expertise; better coordination of foreign operations.
- **Drawbacks:** domestic and international units **compete for resources**; limited knowledge sharing between the foreign units and with headquarters.



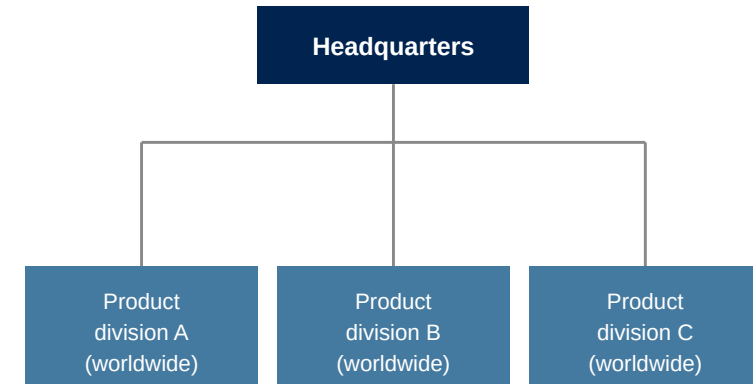
3 • Geographic area structure

- Management and control are **decentralized to regions**; area managers run operations in their territory — typical for firms selling standardized products across regions.
- **Advantages:** highly responsive to each market; a good balance of integration and adaptation.
- **Drawbacks:** managers think **regionally, not globally**; global scale economies and worldwide product development can suffer.



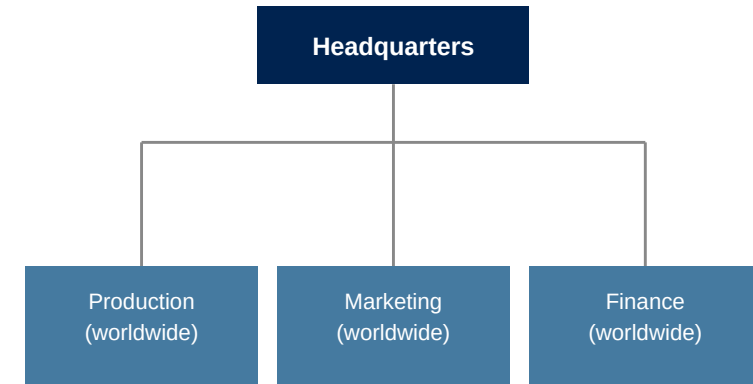
4 • Product structure

- International operations are organized by **major product line**; each product division is responsible for its products worldwide.
- **Advantages:** global expertise per product; scale economies; worldwide knowledge sharing within each line.
- **Drawbacks:** support functions are **duplicated** in every division; risk of too much product focus and too little country focus.



5 • Functional structure

- International operations are organized by **functional activity** — oil firms, for example, split worldwide operations into production and marketing.
- **Advantages:** small central staff; strong central control; concentrated functional expertise.
- **Drawbacks:** unwieldy with many product lines; weak response to buyer needs in individual markets.



6 • Global matrix structure

- **Blends** geographic, product and functional structures — chasing the benefits of global strategy *and* local responsiveness simultaneously; emphasizes learning and knowledge sharing.
- **Drawbacks:** the **dual chain of command** produces contradictory instructions and conflict; with many products and markets, complexity explodes.
- *The organigram of transnational strategy — and just as hard to run in practice.*

	Europe	Americas	Asia-Pacific
Product A			
Product B		dual reporting	
Product C			

PART 3

Strategic Tools & Market Entry

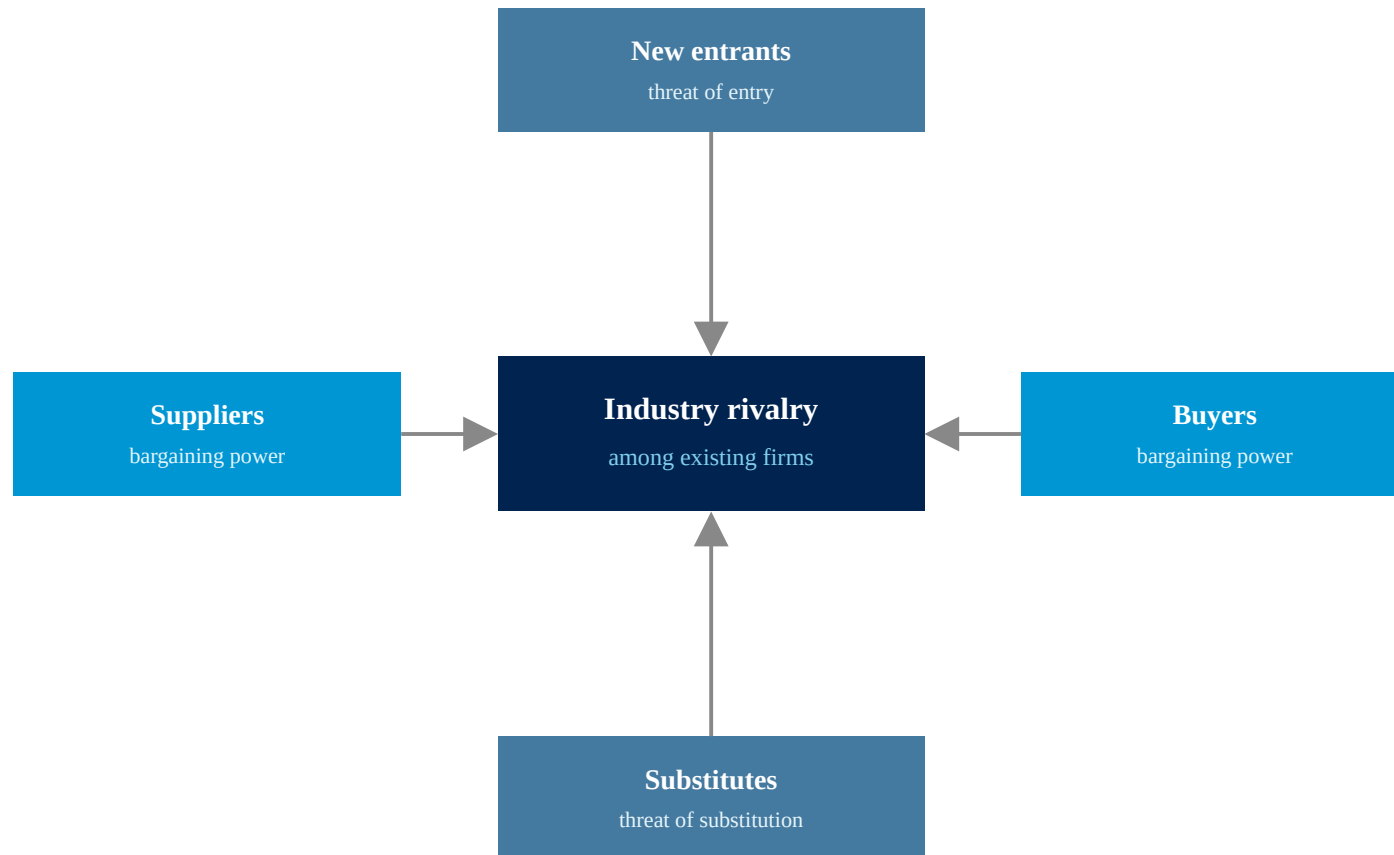
Scanning the environment, analyzing the industry, and choosing how to enter



Two tools for external analysis

- The external environment has two layers — and each has its own workhorse tool:
- **Macro environment** → **PEST(EL)**: political, economic, societal, technological (plus environmental and legal) forces. Broad, indirect, almost the same for everyone.
- **Industry (micro) environment** → **Porter's Five Forces**: the direct competitive forces that determine how profitable an industry is.
- Today we go deep on the second — the tool that explains **why some industries are far more profitable than others**.

Porter's Five Forces: analyzing industry attractiveness



- The five forces together set the **ceiling on industry profitability**.
- Strong forces squeeze profits; weak forces leave room to earn returns.
- Porter later added a **sixth**: complementary products and complementors.
- Internationally, each force gains a cross-border edge — foreign entrants, global suppliers, imports as substitutes.

Based on Porter (1996, 2008).

Force 1: rivalry among existing competitors

Rivalry shows up as price discounting, advertising battles and service one-upmanship — all of which limit profitability. What matters is its intensity and its basis (price vs. differentiation).

Rivalry is HIGH when...

- Low industry concentration (many similar-sized firms)
- Low product differentiation — buyers see substitutes
- High economies of scale and a high ratio of fixed to variable costs
- Slow industry growth — gains come only from rivals

Rivalry is LOW when...

- High industry concentration (a few dominant firms)
- High product differentiation and brand loyalty
- Low fixed-cost pressure to fill capacity
- Growing industry — everyone can expand

Source: Campbell, Edgar & Stonehouse (2011); Grant (2008); Porter (2008).

Force 2: bargaining power of suppliers

Suppliers and buyers use bargaining power to capture a larger share of the value chain's total profit. First, the supplier side.

Supplier power is HIGH when...

- Few suppliers, each selling a high volume to the industry
- High switching costs and few appropriate substitutes for the input
- Highly differentiated inputs the buyer cannot easily replace
- Credible threat of forward integration by suppliers

Supplier power is LOW when...

- Many suppliers competing for the firm's purchases
- Low switching costs and readily available substitute inputs
- Undifferentiated, commodity inputs
- The industry is an important customer for suppliers

Source: Campbell, Edgar & Stonehouse (2011); Grant (2008); Porter (2008).

Force 3: bargaining power of buyers

Now the buyer side of the value chain — the same logic, mirrored.

Buyer power is HIGH when...

- Few customers, each buying a high volume
- Low switching costs and many available substitutes
- Undifferentiated products — buyers can shop on price
- Credible threat of backward integration by buyers

Buyer power is LOW when...

- Many small customers, each buying little
- High switching costs and few substitutes
- Highly differentiated products buyers must have
- The product is a small share of the buyer's cost

Source: Campbell, Edgar & Stonehouse (2011); Grant (2008); Porter (2008).

Forces 4 & 5: new entrants and substitutes

Threat of new entrants is HIGH when...

- Low capital costs to enter
- Low brand loyalty and low customer switching costs
- Open access to inputs and distribution channels
- No scale advantages held by incumbents

Incumbents spend (discounts, advertising) to deter entrants — which itself lowers profit.

Threat of substitutes is HIGH when...

- A substitute matches the industry's price and performance
- Buyers face low switching costs to the substitute
- The substitute improves quickly (better price–performance)
- Internationally: imports act as substitutes via exports

Substitutes outside the industry cap the price firms can charge.

Source: Campbell, Edgar & Stonehouse (2011); Grant (2008); Porter (2008).

Apply it: a Five-Forces verdict

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Objective: judge an industry's attractiveness with the Five Forces, then add the international twist.

- 1 Choose an industry: airlines, smartphones, streaming, coffee shops or car making.
- 2 Rate each of the five forces **high** / **medium** / **low** — and name the single driver that sets each rating.
- 3 Verdict: is this an **attractive** industry to be in? Where does the profit leak out?
- 4 Add the international layer: which force changes most **across countries**?
- 5 One group presents; the class challenges the ratings.

Strategy links the firm and its external environment

The firm — internal analysis

- Goals & values
 - Resources & capabilities
 - Structure & systems
- yields **Strengths** and **Weaknesses**

Strategy

to build and sustain competitive advantage

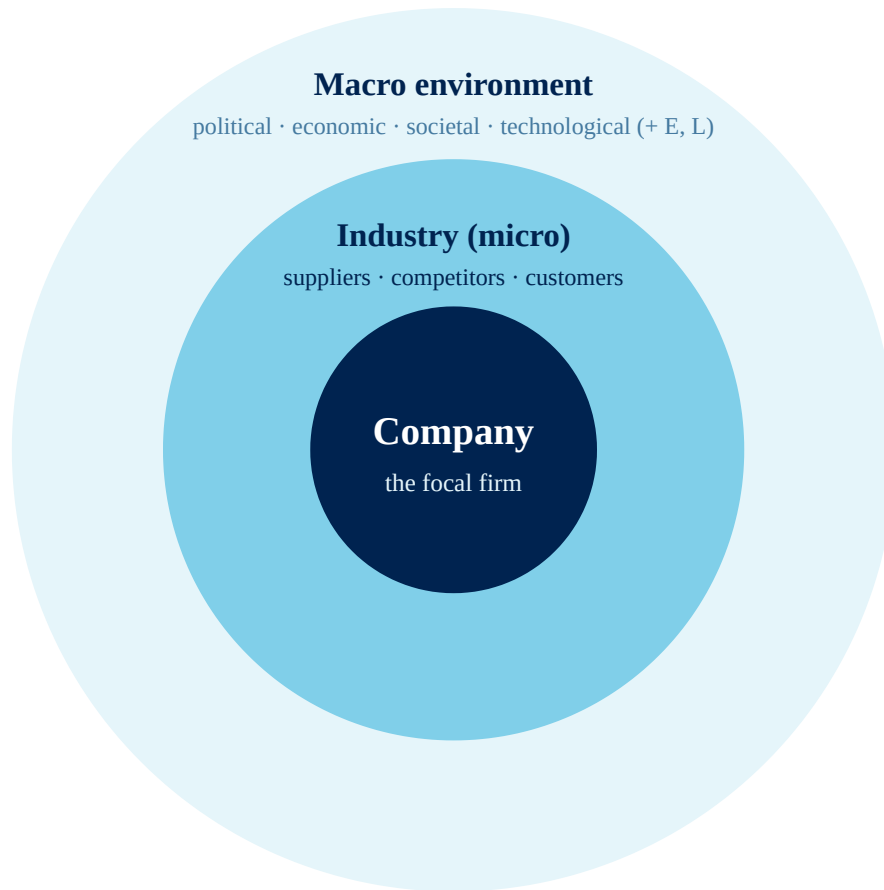
The environment — external analysis

- **Micro:** competitors · customers · suppliers
 - **Macro:** political, economic, societal, technological forces
- yields **Opportunities** and **Threats**

- Good strategy is the **bridge**: it matches the firm's strengths to the opportunities in its environment, while covering weaknesses and threats.
- External analysis therefore has two layers — the **industry (micro)** and the **general (macro)** environment.

Based on Grant, *Contemporary Strategy Analysis* (2010).

Two layers of the external environment



- The **industry** influences companies and competition **directly**.
- The **macro environment** influences the industry — and companies only **indirectly**.
- The macro environment is **almost the same for everyone** and can hardly be affected by a single firm — so the task is to **scan and anticipate** it.
- Tools: **PEST(EL)** for the macro layer, industry analysis (Porter) for the micro layer.

The PEST(EL) framework: scanning the macro environment

PEST(EL) captures the dynamics of the general environment as six sets of driving forces — the outer ring of the previous slide, made concrete.

P · Political

Stability · trade policy · tariffs · government intervention

E · Economic

Growth · inflation · exchange rates · disposable income

S · Social

Demographics · values & lifestyles · culture · education

T · Technological

Digitalization · infrastructure · R&D · automation

E · Environmental

Climate · sustainability regulation · resource scarcity

L · Legal

Employment law · IP · product standards · competition law

From PEST(EL) to opportunities and threats

- A PEST(EL) scan is only useful if it ends in a strategic question: **how does each force affect industry profitability** — and this firm?
- For every factor, classify it as an **opportunity** or a **threat**, and judge its **impact** and **likelihood**.
- Track the **direction of change**: is the force strengthening or weakening — and how fast?
- The output feeds directly into the **O** and **T** of the SWOT — and into scenario planning.

PEST(EL): a good start — but not sufficient

- **What it does well:** a scanning system that maps the firm's exposure to macro driving forces and roughly illustrates external conditions.
- Identifies the **key influencing variables** and displays historical developments to help forecast future forces.
- **Limits:** the line between organizational, industry and macro influences is often hard to draw.
- It is **subjective**; a historical view does not guarantee predictions; and it **cannot itself recommend actions**.
- → Treat it as a **foundation** for more detailed market and industry analysis — not a conclusion.

Megatrend 1: shifting demographics and migration

- Rapidly ageing populations in advanced economies (Japan, Italy — and Austria)
- Large working-age populations in many emerging markets (Nigeria, Indonesia)
- Expanding middle class and growing cities in emerging markets (Brazil, India, China)
- Continued increase in cross-national migration

Threats

- Ageing populations mean lower productivity and falling demand for certain goods
- Urban problems grow: environmental impact, waste, energy consumption

Opportunities

- Demand from the elderly: health care, assisted living
- Demand from working-age and middle-class consumers: housing, cars, professional services
- Immigrants with distinctive skills replenish the workforce

Megatrend 2: transformation of the global economy

- Major economic activity keeps shifting to emerging markets (China, India, Brazil)
- A more protectionist, fragmented international trading environment
- National debt, inequality and persistent poverty constrain many economies

Threats

- Rising competition from emerging-market multinationals
- Protectionism and fragmentation disrupt efficient international trade
- Debt limits public-policy options and living standards

Opportunities

- Rising demand for products and services from China, India and other emerging markets
- Smart planning and innovation turn economic challenges into openings for top firms

Megatrend 3: revolutionary technological advances

- Ground-breaking technologies: artificial intelligence, IoT, robotics, digital platforms
- Ever-increasing connectivity, processing power, digitalization and data

Threats

- Unequal technological access across economies
- Skill gaps in managing leading-edge technologies
- Job losses from automation, robotics and AI

Opportunities

- Demand for cutting-edge products and services
- Technology raises connectivity, innovation, productivity and value-chain control
- Smarter management, marketing and finance through digital tools

Megatrend 4: the natural environment and sustainability

- Climate change; degradation of land, air and water
- Growing scarcity of energy, water, food and other resources

Threats

- Climate change hits agriculture, energy, tourism and more
- Scarcity of water, rare minerals and other key inputs
- Loss of the natural resources that sustain living standards

Opportunities

- Rising demand for sustainable products — alternative energy, resource-efficient offerings
- Growing markets for products and services that repair and restore the environment

Turning analysis into strategy: the TOWS logic

Internal analysis gives Strengths and Weaknesses; external analysis gives Opportunities and Threats. Strategy lives where they cross.

	Opportunities	Threats
Strengths	SO: Do we have the strengths to exploit the opportunities?	ST: Do we have the strengths to overcome the risks?
Weaknesses	WO: Which opportunities are we missing because of our weaknesses?	WT: Which risks are we exposed to because of our weaknesses?

The four questions turn a static SWOT list into strategy options — the TOWS matrix.

Apply it: scan an industry's macro environment

IN-CLASS ACTIVITY · 12 MINUTES · SMALL GROUPS

Objective: run a quick PEST(EL) on a real industry and convert it into opportunities and threats.

- 1 Pick an industry with an international footprint: EVs, fast fashion, streaming, air travel or coffee.
- 2 List **one strong force per PEST(EL) letter** shaping it right now.
- 3 For each, mark **opportunity or threat** — and whether it is strengthening or weakening.
- 4 Name the **single most important** macro force, and one strategic response a firm should make.
- 5 Report your top force to the class — we compare which letters dominate which industries.

Foreign market entry strategies — and the control they give

Entry strategy	What it means	Control
Importing / global sourcing	Procure products and services from foreign suppliers	Low
Exporting	Produce at home (or a third country), sell and distribute abroad	Low
Countertrade	Payments made wholly or partly in kind rather than cash	Low
Licensing	A foreign partner uses the firm's intellectual property for royalties	Low–moderate
Franchising	Foreign franchisees acquire rights and skills to run local operations — McDonald's, Century 21	Moderate
Collaborative ventures	Equity joint ventures and project-based alliances with partner firms	Moderate
Foreign direct investment	Invest capital and take ownership of factories or subsidiaries abroad	High

Control rises with resource commitment and risk: from arm's-length trade through contractual and collaborative modes to wholly owned FDI.

Choosing an entry strategy: three sets of factors

- **The firm itself:** goals and objectives (profitability, market share, positioning) · desired degree of control · financial, organizational and technological resources · risk tolerance.
- **The target market:** legal, cultural and economic conditions · distribution and transport systems · nature and extent of competition, now and later · availability and quality of partners.
- **The venture:** which value-adding activities to keep in-house vs. delegate to partners · long-term strategic importance of the market · characteristics of the product or service.
- *No single best mode: the right entry strategy is the one that matches firm, market and venture — and it can change as commitment grows.*

Typical stages of company internationalization

Entry strategies and structures evolve together: firms typically deepen commitment step by step — and their organization follows.



- Early stages pair with exporting and an export department; later stages bring FDI, international divisions and eventually area, product or matrix structures.
- Compare the Uppsala model from the theories session — incremental commitment, here seen from the inside of the firm.

PART 4

Global Market Opportunity

The six tasks of assessing a foreign market



Opening activity: where should Manner go next?

IN-CLASS OPENER • 10 MINUTES • PAIRS — GUT FEELING FIRST, FRAMEWORK LATER

Objective: make a market-selection call on instinct now — then test it against the systematic six-task framework at the end of the session.

- 1 **Manner** — the Viennese wafer maker — wants one new export market for a major push.
- 2 In pairs, pick **one country** and write down your three reasons.
- 3 Now be honest: how many of your reasons are **data** — and how many are familiarity, language or holiday memories?
- 4 Park your choice. At the end of class you will re-screen it with the tools from today — market-potential indicators, connectedness, screening methods — and see if it survives.

Global market opportunity

- **Global market opportunity:** a favorable combination of circumstances, locations or timing that offers prospects for exporting, investing, sourcing or partnering abroad.
- Sell products and services.
- Establish factories or other production facilities to produce more competently or cost-effectively.
- Procure raw materials, components or services of lower cost or superior quality.
- Enter collaborative arrangements with foreign partners.

The six tasks of global market opportunity assessment

GMOA is a funnel: each task narrows the field — from “are we ready at all?” to a concrete sales forecast for specific markets.

Organizational readiness

1

Is the firm prepared to internationalize?

Product suitability

2

Do our offerings fit foreign markets?

Country screening

3

Which countries deserve a closer look?

Industry market potential

4

How big is demand in each target market?

Business partners

5

Who will we work with abroad?

Company sales potential

6

What share can we realistically win?

Analyze organizational readiness

Task 1 of 6

- Provide an objective assessment of the firm's **preparedness** to engage in international business:
- **Resources:** appropriate financial and tangible resources — and the manufacturing capacity internationalization will demand.
- **Skills and competencies:** relevant capabilities, including the basis of the firm's competitive advantage.
- **Commitment:** is management genuinely committed — and is expansion consistent with other company goals?
- **Deficiencies:** identify what hinders achieving company goals — and fix it before, not after, entry.
- Guiding questions: What do we hope to gain? What demands will this place on finance, personnel and capacity? What is our competitive advantage — and does it travel?

Assess product suitability

Task 2 of 6

- Systematically assess the firm's offerings for **international customers**: what may hinder market potential, and what needs adapting per market?
- Products with the best foreign prospects typically:
- **Sell well in the domestic market** — popular products travel (game consoles, wireless earbuds, fast food).
- **Cater to universal needs** — cancer drugs, personal care, energy-efficient appliances.
- **Address a need not well served** in the foreign market — mutual funds, portable housing.
- **Address a new or emergent need** — disaster relief housing after an earthquake; medications for a disease outbreak.

Questions that measure international market potential

- Who initiates purchasing? Who uses the product or service?
- Why do people buy it — and where do they buy it?
- What economic, cultural, geographic and other factors may limit sales?
- These questions force the researcher from “our product is great” to **how the target market actually buys** — the difference between product-out and market-in thinking.

Screen countries to identify target markets

Task 3 of 6

- Reduce the number of candidate countries to a **manageable five or six** that warrant in-depth investigation.
- Screen on criteria such as market **size and growth**, market **intensity** (buying power), **consumption capacity** (middle-class spending), **infrastructure**, **receptivity** to imports, economic freedom and country risk.
- **Example — Brazil and health products:** ~100 million middle-class consumers with rising incomes spend heavily on health care; global pharma targets medications to Brazilian seniors; health insurance uptake keeps rising.
- Two screening methods (next slides): **gradual elimination** and **indexing & ranking**.

Country screening: two methods

- **Gradual elimination:** start with many prospective countries and narrow step by step with increasingly specific information — first macro indicators (GDP growth, population), then industry data, then firm-specific factors.
- **Indexing and ranking:** assign each country a score on a set of weighted market-attractiveness indicators and rank the list — the logic behind ready-made indices.
- Two widely used public indices: the **Market Potential Index** (globalEDGE, Michigan State) for emerging markets — and the **DHL Global Connectedness** report for how deeply countries are tied into global flows.

How connected? The DHL Global Connectedness Report 2026

Rank	Economy	Why it ranks high
1	Singapore	The world's most connected economy — trade hub, capital hub, talent hub
2	Luxembourg	Small, ultra-open financial centre
3	Netherlands	Europe's logistics gateway (top-3 for years)
4	Ireland	FDI and services powerhouse
5	Switzerland	Capital and knowledge flows
6-10	Hong Kong SAR · UAE · Belgium · UK · Denmark	UK has the most geographically spread flows; the UAE posted the largest connectedness gain since 2001

Measures depth (international flows relative to domestic activity) and breadth (geographic spread) across trade, capital, information and people. Headline 2026: globalization holds at its record level (~25% in 2025) even as the US and China decouple. Source: DHL & NYU Stern, Global Connectedness Report 2026 (Altman & Bastian); ranks below 3 approximate.

Indexing in practice: the Market Potential Index (MPI)

Dimension	Weight	Typical measures
Market size	25 / 100	Urban population · electricity consumption
Market intensity	15 / 100	GNI per capita (PPP) · private consumption % of GDP
Market growth rate	12.5 / 100	CAGR of primary energy use · CAGR of GDP
Market consumption capacity	12.5 / 100	Consumer expenditure · income share of the middle class
Commercial infrastructure	10 / 100	Internet, mobile, logistics, retail density
Market receptivity	10 / 100	Per-capita imports · trade as share of GDP
Economic freedom	7.5 / 100	Economic freedom indices
Country risk	7.5 / 100	Political, economic and financial risk ratings

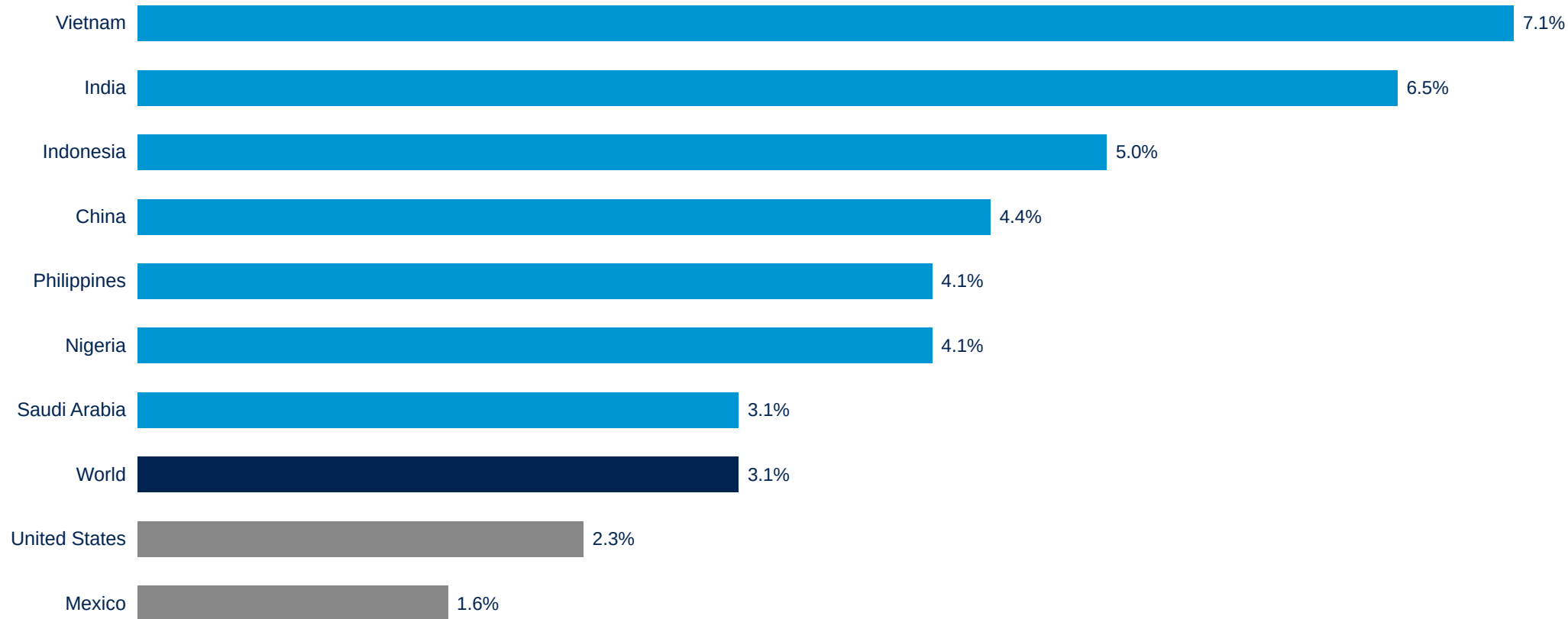
Michigan State University globalEDGE Market Potential Index — built for emerging markets; weights emphasize size and buying power. Source: globaleedge.msu.edu/mpi.

MPI in action: the top-ranked markets

Rank	Country	What drives the rank
1	China	Ranked #1 every year since 2014 — maximum market size and consumption capacity, but weak on economic freedom
2	India	Huge, fast-growing — the size-and-growth story
3	Singapore	Small but extreme intensity, infrastructure and receptivity
4	Hong Kong	Openness and infrastructure over size
5	Canada	The stable, rich, low-risk counterweight

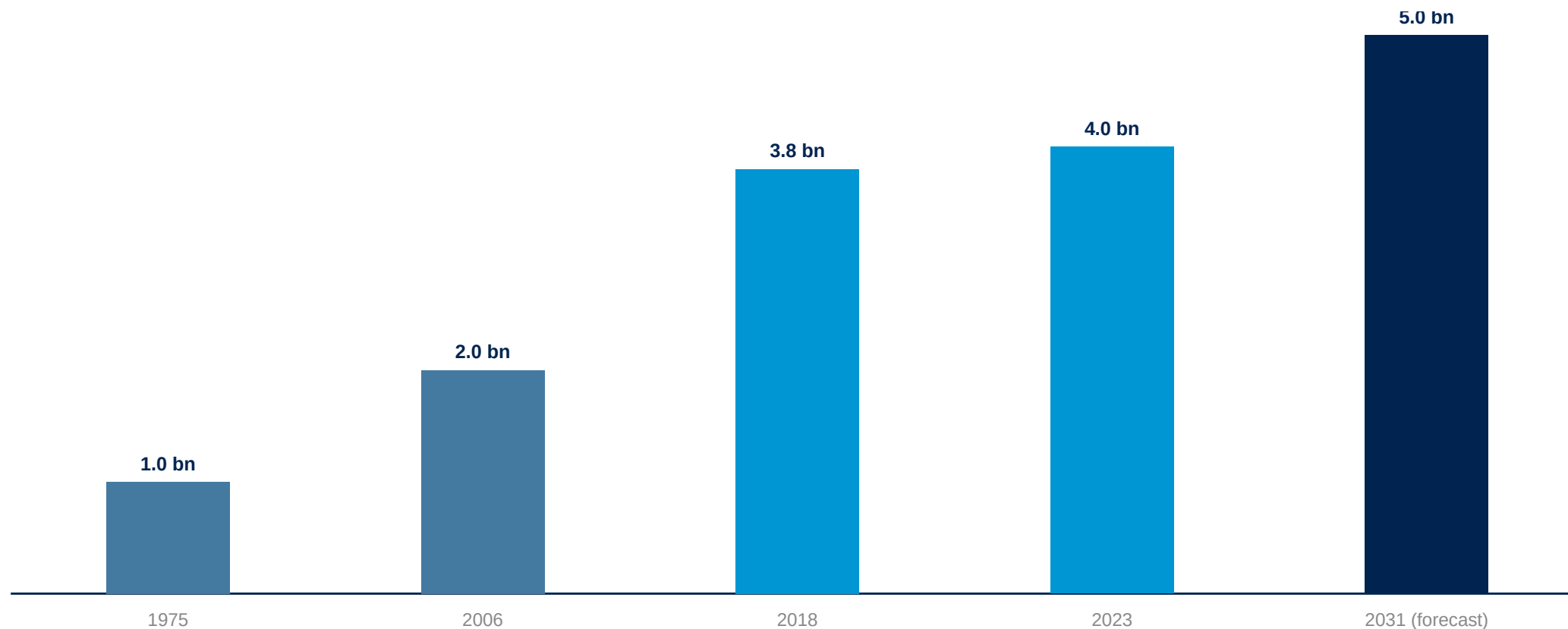
globalEDGE Market Potential Index (Michigan State University), latest published edition. Note how different profiles reach the top: sheer size (China, India) vs. quality of access (Singapore, Hong Kong, Canada) — check globaledge.msu.edu/mpi for the current year's full list.

Most promising export markets: real GDP growth forecasts, 2026



Projected real GDP growth 2026. India remains the fastest-growing major economy; Vietnam tops sizable markets. Forecasts carry a heavy geopolitical shadow: the April 2026 WEO cut global growth to 3.1% amid the Middle East conflict and energy-price spike. Source: IMF, World Economic Outlook, April 2026.

The rise of the global middle class (billions of people)



~150 years to the first billion (mid-1970s), 12 years to the latest. 2018: over half of humanity middle class or wealthier; ~113 million join annually, ~4 in 5 in Asia. Sources: Kharas & Hamel (Brookings 2018); Kharas (2023); World Data Lab (2024). Definitions of middle/consumer class vary by source.

Country screening for foreign direct investment

- Long-term prospects for growth and sizeable returns.
- Cost of doing business — infrastructure, tax rates, wages, worker skills.
- Country risk — regulatory, financial, political and cultural barriers; intellectual-property protection.
- The competitive environment.
- Government incentives — tax holidays, subsidized training, grants, low-interest loans.
- *Remember BYD in Hungary from the theories session: EU market access, incentives and location advantages — and how quickly incentives can change (Turkey).*

Country screening for global sourcing

- **Global sourcing:** procuring finished products, intermediate goods and services from suppliers located abroad.
- Cost and quality of inputs.
- Stability of exchange rates.
- Reliability of suppliers.
- Presence of a workforce with superior skills.

Assess industry market potential

Task 4 of 6

- **Industry market potential:** the likely sales of **all firms** in the industry in a target country over a specific period — different from company sales potential, the share the firm itself expects.
- Most firms forecast both at least **three years** ahead.
- Examine: market size, growth rate and trends · tariff and non-tariff barriers · standards and regulations · availability and sophistication of distribution · unique customer requirements · industry-specific indicators.
- **Industry-specific indicators** — the creative part: cooling equipment → number of restaurants and hotels; laboratory equipment → government health spending; bicycles → number of sunny days per year.

Methods for estimating industry market potential

Simple trend analysis

Extrapolate aggregate industry production and consumption

Industry-specific indicators

Track the unique drivers of demand in your industry

Monitoring key competitors

Their estimated sales reveal the market's size

Following key customers

Where your customers go, demand for you follows

Tapping supplier networks

Suppliers see sales and competitor activity early

International trade fairs

Fast, dense learning about markets and rivals

- In practice firms combine several methods and triangulate — no single source is reliable enough on its own.

Where to research: key public data sources

Site	Address	What you find there
globalEDGE	globaleledge.msu.edu	Data, tools and rankings across all international business topics
International Trade Administration	trade.gov	US country commercial guides and export support
Department for Business and Trade (UK)	gov.uk	UK data and resources for international business
UNCTAD	unctad.org	Country fact sheets; trade, FDI and economic statistics
World Bank	worldbank.org	Development indicators, Doing Business-style data, country profiles
IMF	imf.org	World Economic Outlook databases and country forecasts
OECD	oecd.org	Comparative statistics and policy analysis for member economies
WTO	wto.org	Trade statistics, tariff profiles and trade-policy reviews

A starting kit — most professional country screening can be done with free public sources before buying commercial data.

Choose foreign business partners

Task 5 of 6

- Decide the **type** of partner, clarify **ideal qualifications**, then craft the entry strategy: which value-adding activities must partners perform?
- **Exporters** work with market intermediaries — distributors and agents.
- **Licensing partners** apply the firm's intellectual property in their own country; **franchisees** acquire rights and skills to run local operations.
- **Collaborative ventures** involve joint-venture and alliance partners; global sourcing adds suppliers and contract manufacturers.
- Assess candidates on industry expertise, commitment, distribution access and financial strength.

Ideal qualifications of foreign distributors

- Financially sound and resourceful.
- Competent management.
- Qualified technical and sales staff.
- Willing and able to invest in growing the business.
- Access to distribution channels and end-users.
- Strong industry knowledge.
- Well-known in the marketplace, well-connected with local government.
- Committed and loyal.

Estimate company sales potential

Task 6 of 6

- **Company sales potential:** the share of annual industry sales the firm expects to generate in a target market — a 3-to-5-year forecast of the firm's own revenues and expenses.
- It requires **highly refined market information** — and it is the hardest estimate in the whole GMOA process.
- Key determinants: intensity of competition · pricing and financing attractiveness · human and financial resources · **partner capabilities** · access to distribution channels · market-penetration timetable · risk tolerance of senior managers · the firm's network and contacts · **reputation**.

From industry potential to company sales potential

Industry market potential

Total likely sales of all firms in the industry in the target market

– competitors' share

What incumbent rivals and other entrants will capture

× the firm's reach

Distribution access, partner capabilities, pricing, resources, timetable

= Company sales potential

The share the firm can realistically win, forecast 3–5 years ahead

Methods for estimating company sales potential

- **Survey end-users and intermediaries** — ask the market directly.
- **Trade audits** — visit retail outlets, question channel members, benchmark competitors' offerings.
- **Competitor assessment** — how much business can we take from each rival?
- **Estimates from local partners** — distributors and franchisees who already know the market.
- **Limited market entry to “test the waters”** — a small entry that gauges long-term potential.
- **Analogy method** — infer from known statistics of a comparable country.
- **Proxy indicators** — infer demand for one product category from a related one (both essential for data-poor emerging markets).

You can do it: Natasha Brown's path

- **Degree:** Computer Information Systems. A one-month study program in **Hungary and Turkey** included visits to CNN, Coca-Cola and Turkcell.
- Study abroad taught her how much culture matters — on every level of business.
- After graduation: technical consultant in Atlanta, then pre-sales solutions architect in New York — both at **Hewlett-Packard**; international experience on her CV helped open the door to HP's international operations.
- Her verdict: *“When you consider all the benefits, studying abroad and taking international business classes are well worth the investment.”*
- **The point for you:** this summer university is exactly this kind of investment — use it.

Apply it: re-screen your market pick

IN-CLASS ACTIVITY · 15 MINUTES · SAME PAIRS AS THE OPENER

Objective: run your gut-feeling country from the opening activity through the systematic GMOA logic — and see whether it survives.

- 1 Take your country pick for **Manner** from the opener.
- 2 **Screen it:** market size and growth · buying power · receptivity to imports · infrastructure · risk. Use the MPI dimensions as your checklist.
- 3 **Industry potential:** name two industry-specific indicators for premium confectionery — and one entry barrier (tariffs? shelf access? labeling rules?).
- 4 **Partner:** which type of partner would you choose there, and name the top three qualifications you would demand.
- 5 Verdict: keep your country or switch — and defend the decision in one minute.

Discussion questions

- Ready-made indices like the MPI weight market size at 25%. When is a small but rich market the better choice — and which index dimension would you re-weight for premium consumer goods?
- Gradual elimination vs. indexing and ranking: which method is more vulnerable to manager bias — and why?
- Company sales potential is “the hardest estimate in GMOA”. Which of the nine determining factors is hardest to judge from Vienna — and how would you reduce that uncertainty?
- Natasha Brown credits study abroad for her career start. What, concretely, will you be able to claim from this summer university in a job interview?



DEPARTMENT OF GLOBAL TRADE
WU VIENNA

DR. ARNE FLOH

Senior Lecturer in International Marketing
Deputy Program Director MSc Export- and Internationalisation Management

arne.floh@wu.ac.at

Welthandelsplatz 1, 1020 Wien, Austria
www.wu.ac.at